State of Hawaii Agricultural Loan Division

Updated on October 1, 2025

AGRICULTURAL LOAN PROGRAM	MAXIMUM AMOUNT	INTEREST RATE	MAXIMUM TERM	DENIALS	MINIMUM EQUITY	PURPOSE
QUALIFIED FARMER						
Ownership/Improvement (Class A)	$1,500,000	4%	40 years	1	15% of project cost	Purchase or improvement of farm land; construction or improvement of farm buildings; liquation of indebtedness of the foregoing purposes.
Operating (Class C)	$1,500,000	4%	10 years	1	Discretionary	Purchase of farm equipment and livestock; payment of production & marketing expenses; payment of living expenses; liquidation of indebtedness incurred for the foregoing purposes.
Micro-Loan (operating)	$50,000	4%	10 years	1	Discretionary	Purchase of farm equipment and livestock; payment of production & marketing expenses; payment of living expenses; liquidation of indebtedness incurred for the foregoing purposes. (Note: Does not exclude purchase of farm land and construction or improvement of farm buildings, but not a likely purpose due to the low loan limit.)
Soil & Water – Individual (Class B)	$750,000 or 85% of project cost whichever is less (WIL)	4%	20 Years	1	15% of project cost	Soil conservation practices; water development, conservation and use; drainage; liquidation of indebtedness incurred for the foregoing purposes.
Soil & Water – Association (Class B)	$750,000 or 85% of project cost WIL	4%	40 Years	1	15% of project cost	Soil conservation practices; water development, conservation and use; drainage; liquidation of indebtedness incurred for the foregoing purposes.
Emergency (Class D)	Determined by Board of Agriculture (BOA)	3% or Det. by BOA	Det. by BOA	Det. by BOA	Det. by BOA	Provide relief and rehabilitation to qualified farmers without limit as to purpose for extraordinary emergency situations.
FOOD MANUFACTURER / COOPERATIVES / FOOD HUB						
Facility (Class E – Facility)	$1,500,000 or 85% of project cost WIL	4%	20 years	1	15% of project cost	Purchase or improve land, building, and equipment.
Operating (Class E– Operating)	$750,000	4%	7 years	1	Discretionary	Provide operating capital to finance inventories, supplies, and normal operating expenses.

Qulified Farmer: A US citizen or permanent resident who has lived in Hawaii for the preceding three years, has farmed their own land for two or more years, and primarily dedicates their time or income to farming.

Equity Contribution: Cash, real property, farm equipment, crops, and other assets which contribute significantly toward the project may be accepted as equity contribution. The division shall determine whether non-cash equity contribution contributes significantly toward the project.

Denials: An applicant must be denied credit from lender(s), which include banks, savings and loan associations, credit unions, mortgage loan companies, the Farm Credit System, and/or the USDA.

Micro-Loan: An application process minimizes paperwork and the loan processing procedure is expedited.

AGRICULTURAL LOAN PROGRAM	MAXIMUM AMOUNT	INTEREST RATE	MAXIMUM TERM	DENIALS	MINIMUM EQUITY	PURPOSE
New Farmer (Class F)	$750,000 or 85% of project cost WIL	3%	Depends on purpose	None	15% of project cost	Purchase or improvement of farm land; construction or improvement of farm buildings; liquation of indebtedness of the foregoing purposes and; Purchase of farm equipment and livestock; payment of production & marketing expenses; payment of living expenses; liquidation of indebtedness incurred for the foregoing purposes.
Trainee & Recent College Ag (Class F)	$100,000 or 95% of project cost WIL	3%	Depends on purpose	None	5% of project cost	Purchase or improvement of farm land; construction or improvement of farm buildings; liquation of indebtedness of the foregoing purposes and; Purchase of farm equipment and livestock; payment of production & marketing expenses; payment of living expenses; liquidation of indebtedness incurred for the foregoing purposes.
Farm Innovation (Class F)	$75,000	3%	10 years	1	Discretionary	For qualified farmers to perform practical research in crop development, innovative production techniques, new technologies, and production of crops not typically grown in the State.
Part-Time Farmer (Class G)	$750,000	4%	10 years	1	Discretionary	Purchase, construction, or improvement of farm production & growing structures; purchase of farm equipment & livestock; payment of production and marketing expenses; but liquidation of indebtedness incurred for the foregoing purposes and for living expenses shall not be an authorized purpose.
Farm Sustainable Projects (Class H) (Renewable Energy & Food Safety)	$1,500,000 or 85% of project cost WIL	3%	40 years	1	15% of project cost	Purchase, construction, or improvement of farm buildings for renewable energy and food safety projects; improvement of land that may be required for the project; purchase of equipment and operating expenses related to the project.
Biosecurity (Class I)	$1,000,000 or 85% of project cost WIL	3%	25 years	1	15% of project cost	Purchase or improve land, building, and equipment.
Line of Credit (Class J) (Chattel, Crops , Equipment)	$100,000 or 85% of project cost WIL	4%	5 years	1	15% of project cost	Line of credit loans secured by chattel, crops, equipment that shall provide revolving credit for farm operational expenses and to improve farm operations.
Line of Credit (Class J) (Real Estate)	$250,000 or 85% of project cost WIL	4%	10 years	1	15% of project cost	A line of credit secured by real property. The borrower may access funds from the line at any time during the term of the loan, provided they remain in good credit standing and does not exceed the maximum credit limit.
Import Replacement (Class K)	$2,500,000 or 85% of project cost WIL	3%	10 years	1	15% of project cost	For farm expansion to grow for import replacement or to fund crops grown for the farm or state program established under section 27-8.

New Farmer: A US citizen or permanent resident who has lived in Hawaii for the preceding three years and either has a degree in agriculture, has been displaced from an agricultural job, has two years of part-time farming experience, or otherwise has the ability and experience to successfully operate a farm.

Part-Time Farmer: A US citizen or permanent resident who has lived in Hawaii for the preceding three years, has operated their own farm for at least two years, is currently farming, earns 25-50% of their income from farming, has the credit to repay a loan, and agrees to follow recommended management practices.

Equity Contribution: Cash, real property, farm equipment, crops, and other assets which contribute significantly toward the project may be accepted as equity contribution. The division shall determine whether non-cash equity contribution contributes significantly toward the project.

Denials: An applicant must be denied credit from lender(s), which include banks, savings and loan associations, credit unions, mortgage loan companies, the Farm Credit System, and/or the USDA.

AQUACULTURE	MAXIMUM AMOUNT	INTEREST RATE	MAXIMUM TERM	DENIALS	MINIMUM EQUITY	PURPOSE
Qualified Aquaculturalist						
Ownership/Improvement (Class A)	$400,000	5%	40 years	3	15% of project cost	Purchase or improvement of aquaculture farm land.
Operating (Class B)	$400,000	5%	10 years	3	Discretionary	Purchase of aquatic equipment, fishstock; payment of production & marketing expenses; payment of living expenses.
Micro-Loan (operating)	$50,000	5%	10 years	3	Discretionary	Purchase of aquatic equipment, fishstock; payment of production & marketing expenses, living expenses; liquidation of indebtedness incurred for the foregoing purposes. (Note: Does not exclude purchase of farm land and construction or improvement of farm buildings, but not a likely purpose due to the low loan limit.)
Cooperative / Corporation						
Facility (Class C- Facility)	$500,000	5%	20 Years	3	15% of project cost	Purchase or improve land, building, and equipment.
Operating (Class C- Operating)	$300,000	5%	7 Years	3	Discretionary	Provide operating capital to finance inventories, supplies, warehousing, and shipping commodities, extension of consumer credit to justified farmer-members and normal operating expenses.
Farm Sustainable Projects (Class H) (Renewable Energy & Food Safety)	$1,500,000 or 85% of project cost WIL	5%	40 Years	3	15% of project cost	Purchase, construction, or improvement of farm buildings for renewable energy and food safety projects; improvement of land that may be required for the project; purchase of equipment and operating expenses related to the project.
Emergency (Class D)	Det. by BOA	5%	Det. by BOA	Det. by BOA	Det. by BOA	Provide relief and rehabilitation to qualified farmers without limit as to purpose for extraordinary emergency situations.

Qualified Aquaculturalist: A resident of Hawaii, or a state-licensed business, that is actively engaged in aquaculture farming, produce processing, or product development, and is considered a sound credit risk with the ability to repay loans and provide satisfactory financial references.

Equity Contribution: Cash, real property, farm equipment, crops, and other assets which contribute significantly toward the project may be accepted as equity contribution. The division shall determine whether non-cash equity contribution contributes significantly toward the project.

Denials: An applicant must be denied credit from three lenders, which include the Farm Credit Bank and two other private lenders including banks, savings and loan associations, credit unions, and mortgage loan companies.

Micro-Loan: An application process minimizes paperwork and the loan processing procedure is expedited.

USDA Farm Service Agency					*Updated on October 1, 2025*
AGRICULTURAL LOAN PROGRAM	**MAXIMUM AMOUNT**	**INTEREST RATE**	**MAXIMUM TERM**	**MINIMUM EQUITY**	**PURPOSE**
Ownership					
Direct Farm Ownership – Regular	$600,000	5.875%	40 years	0%	Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs.
Direct Farm Ownership – Joint Financing (Participation)	$600,000	3.875% or 2.5% if another lender provides at least half (50%) of the loan amount	40 years	50% of the value of the property being purchased	Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs.
Direct Farm Ownership – Down Payment	$300,150 or up to 45% of the purchase price or appraised value whichever is less (WIL)	1.875%	20 years	Cash down payment of at least 5%	Purchase of a family size farm by a beginning, minority, or woman farmer.
Direct Farm Ownership – Microloan	$50,000	5.875%	40 years		Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs.
Guaranteed Farm Ownership	$2,251,000 (Amount adjusted annually for inflation)	Rate determined by the lender	40 years		Loan guarantee fee is 1.5%; Help farmers to obtain loans from USDA-approved commercial lenders at reasonable terms; Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs; Refinance debts.
EZ Guarantee	$100,000	Rate determined by the lender	40 years		Loan guarantee fee is 1.5%; Simplified Guaranteed Loan application process to help small, new, or underserved family farmers with early financial assistance; Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs; Refinance debts.
Operating					
Direct Operating – Regular	$400,000	4.875%	7 years		Purchase livestock, poultry, equipment, feed, seed, farm chemicals, and supplies; Soil and water conservation; Refinance debts with certain limitations.
Direct Operating – Microloan	$50,000	4.875%	7 years		Purchase livestock, poultry, equipment, feed, seed, farm chemicals, and supplies; Soil and water conservation; Refinance debts with certain limitations.
Guaranteed Farm Operating	$2,251,000 (Amount adjusted annually for inflation)	Rate determined by the lender	7 years		Loan guarantee fee is 1.5%; Help farmers to obtain loans from USDA-approved commercial lenders at reasonable terms; Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs; Refinance debts.
EZ Guarantee	$100,000	Rate determined by the lender	7 years		Loan guarantee fee is 1.5%; Simplified Guaranteed Loan application process to help small, new, or underserved family farmers with early financial assistance; Purchase farm; Construct buildings or other; Capital improvements; Soil and water conservation; Pay closing costs; Refinance debts.

AGRICULTURAL LOAN PROGRAM	MAXIMUM AMOUNT	INTEREST RATE	MAXIMUM TERM	MINIMUM EQUITY	PURPOSE
Guaranteed Conservation Loan	$2,251,000 (Amount adjusted annually for inflation)	Rate determined by the lender	30 years		Loan guarantee fee is 1.5%; Implement any conservation practice in an NRCS-approved conservation plan; May be used to refinance debts related to implementing an NRCS-approved conservation plan.
Land Contract Guarantee	$500,000 or current market value of the property WIL	8.875% or less	Amortized over a minimum of 20 years with no balloon payments during the first 10 years	Down payment of at least 5%	Sell real estate through a land contract to a beginning or underserved farmer; Guarantee is with the seller of the real estate.
Direct Emergency	100% actual or physical losses $500,000 maximum program indebtedness	3.75%	7 years for non-real estate; 40 years for physical losses on real estate		Restore or replace essential property; Pay all or part of production costs associated with the disaster year; Pay essential family living expenses; Reorganize the farming operation; Refinance debts with certain limitations.

Current FSA Loan Interest Rates: https://www.fsa.usda.gov/tools/informational/rates/current-fsa-loan-interest-rates